NATIONAL COMPANY LAW TRIBUNAL, NEW DELHI

COURT-II

COMPANY PETITION NO. (CAA)-41(ND)2020
IN
COMPANY APPLICATION (CAA) 26(ND)/ 2020

IN THE MATTER OF:

SECTION 230 to 232 OF THE COMPANIES ACT, 2013

AND

IN THE MATTER OF SCHEME OF AMALGAMATION

BETWEEN

M/S. Precise Laboratories Private Limited
E-515, Humsub Co-Op. Group Housing Society Ltd.
Plot No.-14, Sector-4, Dwarka,
South West Delhi – 110 075 ....Transferor/Petitioner No. 1 Company

WITH

Northern Aromatics Limited
5 UGF, Indraprakash
21 Barakhamba Road,
New Delhi – 110 001. ...Transferee/Petitioner No. 2 Company

JUDGEMENT DELIVERED ON: 05.08.2020

CORAM :

CH. MOHD. SHARIEF TARIQ, HON'BLE MEMBER (JUDICIAL)

SH. L. N. GUPTA, HON'BLE MEMBER (TECHNICAL)

PRESENT :

For the Petitioners : Sh. Rajeev Kumar, Advocate

For Income Tax Department : Sh. Dinesh Sharma, Advocate

For RD and OL : Ms. Tania Sharma, Advocate

ORDER

PER SHRI L. N. GUPTA, MEMBER (T)

The present Petition has been preferred by the Transferor and Transferee Companies under Section 230-232 of Companies Act, 2013 for the purpose of the approval of the scheme of amalgamation, as contemplated between the Companies and its Shareholders and Creditors by way of Amalgamation between Precise Laboratories Private Limited (hereinafter referred to as the Transferor Company) with Northern Aromatics Limited (hereinafter referred to as the Transferee Company).

2. The Transferor Company namely, Precise Laboratories Private Limited is a Company incorporated on 22.06.1989 under the provisions of Companies Act, 1956 with CIN No. U24230MH1993PTC075539 , having its registered Office E-515, Humsub Co-Op. Group Housing Society Ltd. Plot No.-14, Sector-4, Dwarka, New Delhi, South West Delhi – 110 075.

3. The Transferee Company namely, M/s. Northern Aromatics Limited is a Company incorporated on 27.12.1979 under the provisions of Companies Act, 1956 with CIN No. U01100DL1979PLC010100, having its registered Office presently at 5 UGF, Indraprakash 21 Barakhamba Road, New Delhi – 110 001.

4. The registered offices of both Transferor and Transferee Companies are situated at New Delhi. Therefore, the jurisdiction lies with this Bench of the Tribunal.

5. The Authorized, Subscribed and Paid-up Share Capital of the Transferor Company as per the Audited Balance Sheet as at 31st March, 2019 is as under:

Particulars	Amount in INR
Authorised Share Capital	
9,00,000 equity share of INR 10/- each	90,00,000/-
10,000 Redeemable Non-Cumulative Preference Shares of INR 10/ each	10,00,000
Total	**1,00,00,000/-**
Issued, Subscribed and Paid-up Share Capital	
6,00,000 equity shares INR 10/- each	60,00,000/-
Total	**60,00,000**

6. The Authorized, Subscribed and Paid-up Share Capital of the Transferee Company as per the Audited Balance Sheet as at 31st March, 2019 is given below:

Particulars	Amount in INR
Authorised Share Capital	
38,000 equity share of INR 100/- each	3,80,00,000/-
10,000 Preference Shares of INR 100/- each	10,00,000
Total	48,00,000/-
Issued, Subscribed and Paid-up Share Capital	
35490 equity shares INR 100/- each	35,49,000
Total	**35,49,000/-**

7. From the records, it is seen that the First Motion was filed by the Petitioner Companies for seeking directions for dispensing the meeting of Equity Shareholders, Secured Creditors and Unsecured Creditors of both the Companies. This Tribunal, in the First Motion bearing No. CA(CAA) No. 26 (ND) 2020, vide Order dated 13.2.2020, dispensed with the

requirement of convening the meetings of the equity shareholders, secured creditors and unsecured creditors of both the companies.

8. The Appointed date as fixed for the Proposed Scheme of Amalgamation is fixed is 01st April, 2019.

9. Subsequent to the order of dispensation of meetings in relation to both the Transferor Company and Transferee Company, the Second Motion petition was moved by the Petitioner Companies in connection with the scheme of Amalgamation, for issuance of notices to the Central Government, Registrar of Companies, NCT of Delhi & Haryana, Regional Director (Northern Region) MCA, Income Tax Authorities, Official Liquidator, and to such other Objector(s), if any, and also for publication of the said scheme. The directions were issued vide Order dated 11.03.2020, requiring both the Companies to serve notices to the Central Government, Registrar of Companies, NCT of Delhi & Haryana, Regional Director (Northern Region) MCA, Income Tax Authorities, Official Liquidator, and also to carry out necessary publication in English and Hindi newspapers, with respect to the said scheme.

10. It is submitted by the Petitioners that in compliance of the above stated directions, the Petitioners duly filed an Affidavit of Service on 24.03.2020 by confirming that the aforesaid Notices of the present Company Petition were published on 20.03.2020 in both Business Standard (English) and Jan Satta (Hindi). It is further submitted that the Petitioner Companies also served the Notices of the present Company Petition to all the statutory authorities.

11. It is stated by the Petitioners that the Official Liquidator has filed his report dated 01.07.2020, wherein he has stated that he has not received any complaint against the proposed Scheme of Amalgamation from any person/party interested in the Scheme in any manner and that the affairs of the Transferor Company do not appear to have been conducted in a manner prejudicial to the interest of its members, creditors or to public interest.

12. In response to the notices issued in the petition, Regional Director, Northern Region, Ministry of Corporate Affairs has filed his report dated 29.06.2020 and has submitted that the Transferee Company may kindly be directed to comply with the provisions of Section 232(3)(i) of Companies Act 2013 in regard to the fee payable on revised share capital.

13. The Transferee Company in response to the Report filed by the Regional Director has filed an Affidavit dated 01.07.2020, wherein undertaking has been furnished to comply with the provisions of Section 232(3)(i) of Companies Act 2013.

14. That the Income Tax Department has filed its report on 10.06.2020 and has pointed out the outstanding tax liability of the Transferee Company as Rs.68,299 for the Assessment Year 2009-10. However, no demand is pointed out against the Transferor Company.

15. That on 03.07.2020, this Bench has observed that IT Department can continue to take measures for recovery of the demand against the Transferee Company.

16. In view of the foregoing, upon considering the approval accorded by the Members and Creditors of all Companies to the proposed Scheme, and no sustainable objections having been raised by the Office of the Regional Director, Income Tax Department or any other interested party, there does not appear to be any impediment in granting sanction to the Scheme. Accordingly, in sequel to the above, sanction is hereby granted to the Scheme of Amalgamation under section 230-232 of the Companies Act, 2013. The sanctioned Scheme of Amalgamation shall be binding on the Transferor and Transferee Company, and their Shareholders and Creditors. The Parties shall also be bound to comply with the requisite statutory requirements in accordance with law.

17. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this court to the scheme will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, Directors and officials of the Petitioner Company.

18. While approving the Scheme as above, it is clarified that this Order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other statutory dues, if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law. Further the approval of the scheme would in no manner affect the tax treatment of the transactions under Income Tax Act, 1961 or serve as any exemption or defense for the applicant companies against tax treatment in accordance with the provisions of Income Tax Act, 1961.

THIS TRIBUNAL FURTHER DIRECTS :

(i) Upon the sanction becoming effective from the appointed date of amalgamation, i.e., 1st April, 2019, the Transferor Company shall stand dissolved without undergoing the process of winding up.

(ii) All benefits, entitlements, incentives and concessions under incentive schemes and policies that the Transferor Companies is entitled to, including under customs, excise, service tax, VAT, sales tax, GST and entry tax and income tax laws, subsidy receivables from Government, grant from any governmental authorities, direct tax benefit/exemptions/deductions, shall, to the extent statutorily available and along with associated obligations, stand transferred to and be available to the Transferee Company as if the Transferee Company was originally entitled to all such benefits, entitlements, incentives and concessions;

(iii) All contracts of the Transferor Companies which are subsisting or having effect immediately before the Effective Date, shall stand transferred to and vested in the Transferee Company and be in full force and effect in favor of the Transferee Company and may be enforced by or against it as fully and effectually as if, instead of the Transferor Companies, the Transferee Company had been a party or beneficiary or obliged thereto;

(iv) All the employees of the Transferor Companies shall be deemed to have become the employees and the staff of the Transferee Company with effect from the Appointed Date, and shall stand transferred to the Transferee Company without any interruption of service and on term and conditions no less favorable than those on which they are engaged by the Transferor

Companies, as on the Effective Date, including in relation to the level of remuneration and contractual and statutory benefits, incentive plans, terminal benefits, gratuity plans, provident plans and any other retirement benefits;

(v) All liabilities of the Transferor Companies, shall, pursuant to the provisions of section 232(4) and other applicable provisions of the Companies Act, 2013, to the extent they are outstanding as on the Effective Date, without any further act, instrument or deed stand transferred to and be deemed to be the debts, liabilities, contingent liabilities, duties and obligations etc. as the case may be, of the Transferee Company and shall be exercised by or against the Transferee Company, as if it had incurred such liabilities.

19. That the Petitioner Companies shall within thirty days of the date of the receipt of this Order cause a Certified Copy of this Order to be delivered to the Registrar of Companies for registration and on such Certified Copy being so delivered the Transferor Company hall be dissolved and the Registrar of Companies shall place all documents relating to the Transferor Companies and registered with him on the file kept by him in relation to the Transferee company and the files relating to the said companies shall be consolidated

20. The Company Petition is disposed off with aforesaid directions.

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(L. N. GUPTA)
MEMBER (T)

-Sd-

(CH. MOHD. SHARIEF TARIQ)
MEMBER (J)